

HEADLINE JUDGMENT

Note: 1 Jul figures are intraday prints; 30 Jun is now a final close. Bloomberg's restated continuation series in force throughout; two gasoline series are tracked (AUTMUSAG / AAA pump — score reference; USFRFRUSA / DOE regular spot — corroboration). **Score HOLDS at 21/30 for a second session — the military stand-down held, but the diplomatic de-escalation that would take the score back down has not materialized.** After the weekend flare-up (the Ever Lovely and a Qatari-tanker strike, US retaliation, and Iranian strikes on US bases in Bahrain and Kuwait), **both sides stayed stood-down on the military track** — keeping escalation from 5 — **but the technical talks meant to begin 30 Jun are snagged.** Iran's foreign-ministry spokesman Baqaei denied any US–Iran meeting is scheduled (Qatar concurs), and conditioned negotiations on the US “forcing” Israel to halt its Lebanon strikes; US envoys Witkoff and Kushner are in Qatar regardless. So **escalation holds at 4** (stand-down blocks 5; stalled talks block the move back to 3). Strait traffic slowed sharply after the weekend attacks and oil bounced off pre-war on the renewed tension (Brent \$73.34, ~\$0.9/bbl premium). **Separately, a quarter-end bond sell-off flips the Treasury watch:** 30Y jumped ~9 bp on 30 Jun to 4.95% (near 5.00) and MOVE to 71.96 — macro / hawkish-Fed driven, not Hormuz — so Treasury (held at 4) now carries a →5 watch rather than a →3 watch. Oil 2, US-inflation 3 (5Y5Y 2.17%), maritime 4, political 4 (both gasoline series still easing) hold. VIX 16.45 — markets remain calm. The path back down is blocked by the stalled diplomacy; the score sits at the top of the systemic-risk-watch band. Sequencing 21 → 21 → 21.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

1 Jul 2026 readings are intraday prints captured before session close — final settlements may differ. 30 Jun and earlier are final closes (restated continuation series). d/d deltas are 1 Jul intraday vs 30 Jun close; w/w deltas are vs 24 Jun close.

Benchmark	Intraday 1 Jul	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$73.34 /bbl	+\$0.39 (–\$0.53 w/w)	from \$72.48 (+1.3%) — near pre-war; risk premium ~\$0.9/bbl, bounced on renewed strait tension	CO1 Comdty
Brent · 30 Jun close (carried)	\$72.95 /bbl (vs \$73.45 intraday I reported)	close ran \$0.50 below my intraday — eased to near the anchor into a quarter-end close		CO1 Comdty (Close)
WTI front-month	\$69.63 /bbl	+\$0.36 (–\$0.30 w/w)	from \$67.02 (+3.9%) — low \$70s	CL1 Comdty
Brent–WTI spread	\$3.71 /bbl	+\$0.03 d/d	steady	derived
Henry Hub natural gas	\$3.25 /MMBtu	–\$0.03 (–\$0.02 w/w)	from \$3.06 (+5.9%) — near pre-war; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€43.37 /MWh	–€0.07 (+€2.34 w/w)	from €31.23 (+38.9%) — firming on the renewed strait risk	TZTA Comdty
Japan/Asia LNG (26 Jun print)	¥2,479	— (lagged)	from ¥1,669 (+48.5%) — stable	JGLA Comdty
Brent · April 2026 realized average	\$102.46 — 21 trading sessions			CO1 (Close mean)
EIA June STEO (9 Jun)	Brent ~\$105/b Jun–Jul assumed a closed strait — now badly stale to the downside			EIA STEO

US Treasuries and inflation expectations — Bloomberg

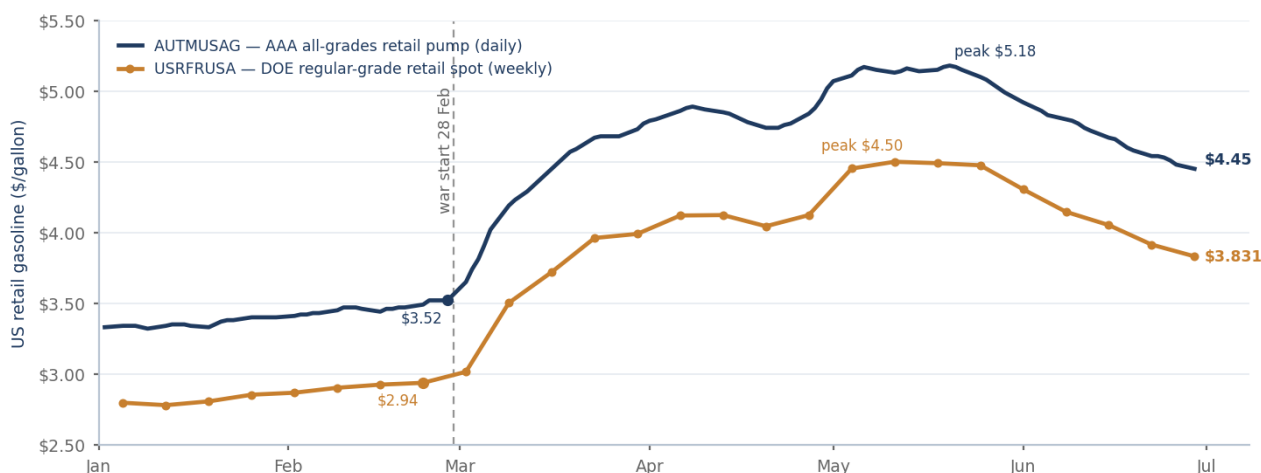
1 Jul 2026 yields are intraday. d/d deltas are 1 Jul intraday vs 30 Jun close; w/w deltas are vs 24 Jun close. A quarter-end bond sell-off lifted the long end ~9 bp on 30 Jun; the complex still reflects the 17 Jun hawkish FOMC.

Tenor	Yield (%) — intraday 1 Jul	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.17	–0.6	+2.1	+79 (from 3.37%) — hawkish-FOMC level	USGG2YR Index
5-year UST	4.22	–0.7	+4.4	+72 (from 3.50%)	USGG5YR Index
10-year UST	4.46	–0.6	+6.7	+52 (from 3.94%) — sold off on 30 Jun; 19 bp below 4.65% trigger	USGG10YR Index
30-year UST	4.95	–0.1	+11.1	+34 (from 4.61%) — back near 5.00% on the quarter-end sell-off	USGG30YR Index
2s10s spread	+29 bp	+0.4	+4.9	–27 (steepened w/w)	USYC2Y10 Index
10Y breakeven inflation	2.23 (30 Jun)	—	—	–2 (from 2.26%) — just below pre-war	USGGBE10 Index
5Y5Y forward inflation	2.17	–0.7	+2.9	+3 (from 2.14%) — just above the pre-war anchor (US-inflation at 3)	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	Δ vs pre-war	Interpretation
DXY (dollar index)	101.29	1 Jul intraday	+3.68 (from 97.61)	Holding >101.2 on the hawkish FOMC. Dollar strength, not a Stage-4 break.
MOVE Index (bond vol)	71.96	30 Jun (lagged)	-1.42 (from 73.38)	Jumped on the quarter-end sell-off, back toward pre-war — the Treasury watch flips from →3 to →5. Still far below the 130 Stage-4 level.
VIX (equity vol)	16.45	30 Jun (lagged)	-3.41 (from 19.86)	Well below pre-war — equities calm; the bond move was a rates/quarter-end event, not risk-off.
Gasoline · AUTMUSAG (AAA, all-grades pump) — score reference	\$4.45 /gal	29 Jun (latest)	+\$0.93 (from \$3.52, +26%)	The political-stress reference (pre-war \$3.52, peak \$5.18). Below the \$4.75 threshold, easing steadily toward pre-war.
Gasoline · USRFRUSA (DOE, regular-grade spot) — corroboration	\$3.831 /gal	29 Jun (weekly)	~+\$0.89 (from ~\$2.94, +30%)	Regular-grade spot; peak \$4.50 (11 May). Confirms the AAA read — both eased again this week, ~30% above pre-war.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest \$4.45); USRFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war ~\$2.94, peak \$4.50, latest \$3.831). Both spiked from the 28 Feb war start and have since retraced most of the move, easing again this week to ~30% above their respective pre-war levels.

Strait operational state

Indicator	Current reading	Source
Military stand-down held	After the weekend flare-up (Ever Lovely and a Qatari-tanker strike, US retaliation, Iranian strikes on US bases in Bahrain and Kuwait), both sides stayed stood-down on 29–30 Jun — no new strikes, but “disagree over next steps on talks.”	AP / Britannica
Talks snagged (30 Jun)	Iran’s spokesman Baqaei denied any US–Iran meeting is scheduled and said Tehran will not negotiate a final deal until the US enforces the MOU on Lebanon — the “main criterion” is Washington “forcing” Israel to stop its Lebanon strikes. Qatar: no high-level meeting scheduled.	RFE/RL / Qatar MFA
US envoys in Qatar	Witkoff and Kushner traveled to Doha for meetings on Iran “with tensions high over Hormuz”; Trump said Iran “requested a meeting,” which Iran disputes.	AP / Britannica
Traffic slowed sharply	Maritime traffic in the strait slowed sharply after the weekend ship attacks; the IMO evacuation of ~600 ships remains paused; Iran’s PGSA insists on its declared routes; the central channel is still mined.	RFE/RL / IMO
Oil / macro	Oil rose again after last week’s slide toward pre-war amid the renewed strait tension. A quarter-end bond sell-off (30 Jun) lifted the long end (30Y ~4.95%) and MOVE (71.96) — a rates event, not Hormuz.	RFE/RL / Bloomberg
Lebanon linkage	The Lebanon ceasefire is fragile (Israeli strikes; phased-withdrawal talks in Washington); Iran is explicitly tying the resumption of final-deal talks to a halt in Israel’s Lebanon operations.	RFE/RL / PBS

2 · US economic shock — analysis with bond yields

The US economic shock holds at **21/30** for a second session. The military stand-down after the weekend flare-up keeps escalation from 5, but the stalled technical talks — Iran conditioning negotiations on a halt to Israel’s Lebanon strikes — block the move back to 3. The market channels are near pre-war (oil, 5Y5Y) and the one notable move was a quarter-end bond sell-off that lifted the long end back toward 5.00%, a rates event rather than a Hormuz one. No Stage-4 signal.

2.1 · Bond-yield transmission

1 Jul yields are intraday; d/d vs 30 Jun close, w/w vs 24 Jun. **Score held at 21; no channel moved on the 30 Jun close.** The 30 Jun session sold off the long end ~9 bp (30Y to 4.95%, 10Y to 4.47%) and lifted MOVE to 71.96 into quarter-end, even as oil eased and VIX fell to 16.45 — a macro/positioning move. Brent bounced to \$73.34 on the renewed strait tension.

(i) Inflation anchor — just above; held at 3. 5Y5Y forward at 2.17% (2.1795% close 30 Jun) is +3 bp above the 2.142% pre-war anchor; 10Y breakeven 2.23% is just below pre-war. The forward impulse is near pre-war but stable — US-inflation holds at 3.

(ii) Long-end — back near 5.00%; Treasury Fed-pinned at 4, now →5 watch. The quarter-end sell-off took 30Y to 4.95% (+11 bp w/w) and MOVE to 71.96 (toward the 75 leg). The prior →3 downgrade watch is off the table; the live question is now whether a 30Y close >5.00% with MOVE >75 triggers a move to 5. 10Y at 4.46% is 19 bp below the 4.65% trigger.

(iii) Oil — at pre-war but bid; held at 2. Close path: \$73.91 (29 Jun) → \$72.95 (30) → \$73.34 intraday (1 Jul); WTI \$69.63. The renewed strait tension (slower traffic, stalled talks) keeps a ~\$0.9/bbl premium. Oil holds at 2; a sustained close at the \$72.48 anchor absent fresh incidents takes it to 1; a re-closure / sustained strikes restores 3.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. The quarter-end sell-off nudged the long end toward the 5.00% line, so Threshold B is worth watching again, though the move is Fed/positioning-driven, not a funding stress.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y ~4.95%, the next coupon auctions are the test if the sell-off extends.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. On watch. 30Y 4.95% is 25 bp below the 5.20% trigger (narrowing); 10Y 4.46% is 19 bp below 4.65%. The quarter-end move closed some of the gap.

Threshold C · MOVE above 130. Contained. MOVE 71.96 rose but is below pre-war; VIX 16.45 is well below. Far below Stage-4 levels.

2.3 · Cross-asset

Two crosscurrents this session. Geopolitically, the stand-down held but the talks stalled on the Lebanon linkage — keeping escalation at 4 and traffic subdued, with oil bid ~\$1 above pre-war. Macro-wise, a quarter-end bond sell-off lifted the long end and bond vol independently of Hormuz, flipping the Treasury channel's next move from a downgrade to a possible upgrade. VIX at 16.45 shows equities untroubled by either. On gasoline, both tracked series eased again — AAA to \$4.45, DOE to \$3.831 — confirming a steady, lagging decline toward (but still ~30% above) pre-war.

3 · Shock score

Total: **21/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	Held at 4. Traffic slowed sharply after the weekend ship attacks; the IMO evacuation is still paused; Iran's PGSA insists on its declared routes; the central channel is still mined. Not 5 — no formal re-closure.	↑ strait re-closed / blockade reinstated → to 5. ↓ traffic >25% normal for 10 sessions (verified mine-free) → to 3.
Oil price shock	2/5	Held at 2. Brent \$72.95 close (30 Jun) → \$73.34 intraday; risk premium ~\$0.9/bbl. Bounced off pre-war on the renewed strait tension.	↑ Brent >\$95 sustained → to 3. ↓ Brent close at the \$72.48 pre-war level sustained (absent fresh incidents) → to 1.
US inflation impulse	3/5	Held at 3. 5Y5Y 2.17% is +3 bp above the 2.142% pre-war anchor; 10Y BE 2.23% (just below pre-war). The forward impulse is near pre-war but stable.	↑ 5Y5Y clearly rising >2.20% → to 4. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 2.
Treasury stress	4/5	Held at 4 — Fed-pinned, now →5 watch. The quarter-end sell-off took 30Y to 4.95% (near 5.00) and MOVE to 71.96. Macro/positioning-driven, not Hormuz. The prior →3 watch is off; the risk is now to the upside.	↑ 30Y close >5.00% with MOVE >75 → to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	Held at 4. Scored on AUTMUSAG (AAA pump): \$4.45 (29 Jun), below the \$4.75 threshold and easing steadily toward the \$3.52 pre-war. The DOE regular spot (\$3.831, ~+30%) corroborates.	↑ gasoline >\$4.75 sustained → to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	4/5	Held at 4. The military stand-down held (no new strikes 29–30 Jun), keeping it from 5; but the technical talks are stalled — Iran denies a scheduled meeting and conditions negotiations on the US halting Israel's Lebanon strikes — blocking the move back to 3.	↑ sustained strikes / re-closure / deal collapse → to 5. ↓ talks convene + incidents cease + normalization → back to 3.
TOTAL	21/30	Systemic-risk-watch band — held at 21 (second session). The stand-down caps the escalation, but the stalled Lebanon-linked diplomacy blocks the path back down. The market stayed calm; the one macro move (a quarter-end bond sell-off) flipped the Treasury watch to the upside without changing the score.	

4 · What's changed since the last edition (30 Jun AM → 1 Jul AM)

Score holds at 21/30. The military stand-down held but the diplomatic de-escalation stalled; no channel moved. Source: RFE/RL / AP / Bloomberg.

Talks snagged on Lebanon. Iran's Baqaei denied a scheduled US–Iran meeting and tied final-deal talks to the US halting Israel's Lebanon strikes; Witkoff and Kushner are in Qatar anyway. Escalation holds at 4 (the move back to 3 is blocked). Source: RFE/RL / AP.

Stand-down held. No new strikes on 29–30 Jun after the weekend flare-up — escalation stays capped below 5. Source: AP / Britannica.

Traffic slowed; oil bid. Strait traffic slowed sharply after the weekend attacks and oil bounced off pre-war to \$73.34. Maritime and oil hold at 4 and 2. Source: RFE/RL / Bloomberg.

Quarter-end bond sell-off — Treasury watch flips. 30Y jumped ~9 bp on 30 Jun to 4.95% and MOVE to 71.96 (a rates/quarter-end move, not Hormuz). Treasury holds at 4 but the next move is now a →5 watch, not →3. Source: Bloomberg.

Gasoline eased again. AAA \$4.45 and DOE \$3.831 (both 29 Jun) — the steady lagging decline continues; political-stress holds at 4. Source: AAA / DOE via Bloomberg.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal holds — talks convene, normalization resumes	48%	The Lebanon linkage is bridged, the technical talks convene, the IMO evacuation resumes and traffic rebuilds. The downtrend resumes. Trimmed on the stalled talks.	Brent \$66–76; 30Y 4.6–4.95%; MOVE <72; score resumes its drift toward the stress band (8–14).
Slow / partial implementation	37%	Ceasefire holds but normalization is slow and stop-start — talks stall on Lebanon, incidents recur, the central channel stays mined, gasoline lags. The base case now.	Brent \$72–84; yields stable-to-firm; residual risk premium ~\$1–5/bbl; maritime and escalation stay at 4.
Implementation breakdown (60-day window)	9%	The Lebanon linkage sinks the talks, or the toll/IAEA terms snag, or Iran re-restricts the strait — stalling the deal without full-scale war.	Brent \$84–98; yields drift up; risk premium rebuilds toward \$12–18/bbl; escalation to 4–5.
Ceasefire breakdown / re-escalation	5%	The stand-down fails and strikes resume — via Hormuz, US bases or Lebanon — despite the MOU.	Brent \$104–132; 10Y >4.65%; 30Y >5.20%; risk-off; score into the crisis band.
Major regional relapse	1%	Multi-front relapse with the strait re-closed/re-mined. Tail risk, held down by the repeated stand-downs.	Brent \$150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

Probability shifts from the 30 Jun edition: deal-holds normalization –2 (50→48), slow/partial +2 (35→37); implementation-breakdown (9%), ceasefire-breakdown (5%) and regional relapse (1%) held. Driver: the military stand-down held (capping the near-term breakdown/relapse tails) but the talks stalled on the Lebanon linkage, shifting weight from the clean-glide path to the slow, stop-start one. The hawkish Fed and the quarter-end sell-off pin the Treasury channel regardless.

6 · Watchlist · next 24–72 hours

Do the talks convene? — the swing. Iran denies a scheduled meeting and conditions negotiations on the US halting Israel's Lebanon strikes; Witkoff/Kushner are in Qatar. Talks convening takes escalation back toward 3; a collapse risks a move toward 5.

Lebanon linkage. Iran's "main criterion" is Washington forcing Israel to stop its Lebanon operations — now the binding constraint on the whole process.

Stand-down durability / strait traffic. The military lull held; whether it persists or another ship attack erupts, and whether the paused IMO evacuation resumes with sustained >25% transits (maritime toward 3), are the near-term markers.

Treasury long-end — →5 watch. 30Y 4.95% with MOVE 71.96 after the quarter-end sell-off; a 30Y close >5.00% with MOVE >75 would take Treasury 4→5. Incoming CPI (4.2%) and supply are the drivers.

Oil at pre-war — oil to 1. Brent \$73.34 carries a ~\$0.9/bbl premium; absent fresh incidents, a sustained close at the \$72.48 anchor takes oil 2→1.

Gasoline (both series) — political to 3. AAA \$4.45 and DOE \$3.831 sit ~30% above pre-war and are easing weekly; a continued grind toward pre-war (AAA \$3.52) takes political-stress 4→3.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO1/CL1 Comdty (Brent/WTI); NGA/TZTA/JGLA Comdty (Henry Hub/TTF/Asia LNG); USGG2YR/5YR/10YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (AAA all-grades retail pump — score reference) and USRFRUSA (DOE regular-grade retail spot, weekly — corroboration).

Tier 1 — news and institutional. RFE/RL (Radio Farda), AP, Britannica, CNN, PBS, Reuters, Bloomberg, Lloyd's List; US State Dept, CENTCOM, IMO, Qatar MFA, Federal Reserve. The held military stand-down, the stalled 30 Jun talks (Baqaei's denial and the Lebanon condition), the Witkoff/Kushner Qatar trip, the sharply slower strait traffic and the quarter-end bond sell-off via RFE/RL / AP / Britannica / Bloomberg.

Tier 3 — state media (labelled). Iranian statements (Baqaei's meeting denial and Lebanon condition, PGSA route warnings) are labelled and corroborated against AP / RFE/RL / Reuters; IRNA, Tasnim, Mehr, Press TV, Xinhua, TASS used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (30 Jun); re-map columns via the robust scan (both gasoline series; DXY col98); capture restatements.
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 24 Jun this edition); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market channels move on a confirmed close (none moved; the 30 Jun long-end sell-off was macro/quarter-end, flipping Treasury's watch to →5). Escalation-risk is event-based, held at 4 (stand-down held; talks stalled on Lebanon).
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 30 Jun close eased oil \$0.50 to near the anchor and sold off the long end ~9 bp into quarter-end).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with whether the talks convene, the Lebanon linkage, the Treasury →5 watch, and oil/gasoline vs their pre-war anchors.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger; escalation-risk is event-based — held at 4 this edition (the stand-down caps it below 5; the stalled Lebanon-linked talks block the move to 3). The 30 Jun long-end sell-off was macro/quarter-end and flips the Treasury channel's watch to →5, without a score change. A hawkish FOMC continues to pin Treasury at 4.

Gasoline series. Political-stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war \$3.52, peak \$5.18, latest \$4.45) for continuity. USRFRUSA (DOE regular-grade retail spot; pre-war ~\$2.94, peak \$4.50, latest \$3.831) is tracked alongside as a complementary gauge of the most-consumed fuel and corroborates the AAA read (~30% above pre-war, easing). See the chart in section 1.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent (+1.3%), 5Y5Y (+3 bp) and gasoline sit just above pre-war; WTI, 10Y breakevens and VIX are at/below it; the hawkish Fed holds the front end and dollar above it, and the quarter-end sell-off lifted the long end back toward 5.00%.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot; US-hours trading and headlines set the close (the 30 Jun close eased oil to the anchor and sold off the long end into quarter-end). Market-channel triggers are evaluated only on confirmed closes; escalation-risk is event-based. This edition uses Bloomberg's restated front-month continuation series; absolute levels are not directly comparable with pre-restatement editions, though the directional analysis is continuous.